

idends, he could have relied with confidence on the corporation's enormous resources to take care of its obligations. In support of this contention, a brief comparison is appended of the market action of Inland Steel 4¹/₂s (previously discussed) with that of United States Steel Preferred.

	U.S. Steel Pfd.		Inland Steel 4 ¹ / ₂ % bonds, due 1978	
Period	Price	Yield,%	Price	Yield,%
High price, 1931	150	4.67	97 ³ / ₄	4.62
Low price, 1932	51 ¹ / ₂	13.59	61	7.54
High price, Jan. 1933	67	10.45	81	5.67

Both of these issues were subject to the same adverse business conditions, but the *contractual* weakness of United States Steel Preferred was responsible for the loss of an investment position which the Inland bonds were able to retain without serious difficulty (except for a brief period of utter demoralization in the bond market).

Voting Rights a Potential Safeguard but Generally Ineffective. The contractual weakness of preferred stocks as compared with bonds might be greatly reduced if preferred stockholders were to exercise *effective voting control* over the enterprise as soon as either dividends or sinking-fund were suspended. We shall point out in our later chapters on protective provisions that such voting control, properly exercised, might constitute the best protective and remedial arrangement for both bonds and preferred stock. This would imply that, *given suitable protective provisions intelligently availed of*, the practical position of bondholders and preferred shareholders would not be significantly different. In our opinion, a good part of the present very real inferiority of preferred stocks to bonds is ascribable to the failure of preferred stockholders either to obtain voting control promptly or to exercise it intelligently, after dividends are suspended. However, our analysis of the investment status of preferred stocks must be predicated on the undoubted fact that, with conditions as they are, the individual holder of preferred shares cannot rely upon his voting rights to achieve full protection of his interests.

Yield and Risk. Returning to the actual performance of preferred issues in the last decade, their unsatisfactory record as a class may well raise the